

S&P Global Flash Eurozone PMI[®]

Eurozone business activity rises for first time in four months amid renewed expansion of new orders

July 2026

Flash Eurozone PMI Composite Output Index: 51.9
(June: 50.0). 5-month high.

Flash Eurozone Services PMI Business Activity Index: 51.6 (June: 49.4). 5-month high.

Flash Eurozone Manufacturing Output Index: 53.0
(June: 51.7). 52-month high.

Flash Eurozone Manufacturing PMI: 52.0
(June: 51.4). 3-month high.

The eurozone private sector returned to growth in July, according to provisional PMI[®] survey data from S&P Global. Higher output reflected a renewed increase in new orders, with staffing levels also up accordingly. Meanwhile, inflationary pressures eased but remained pronounced. There was also a lessening of supply-chain disruption which helped manufacturers to expand their stocks of inputs for the first time in three-and-a-half years.

Companies were more confident in the year-ahead outlook for business activity, but sentiment remained lower than before the outbreak of war in the Middle East.

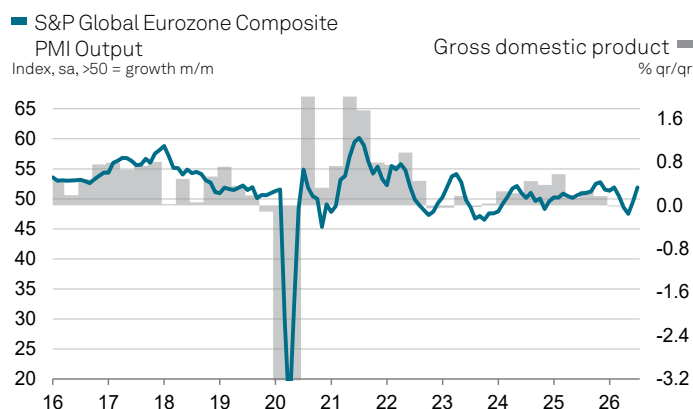
Output and demand

The seasonally adjusted S&P Global Flash Eurozone Composite PMI Output Index, based on approximately 85% of usual survey responses, posted 51.9 in July, up from a reading in line with the 50.0 no-change mark in June. The index pointed to a first expansion in business activity in four months, and one that was modest overall.

The increase in output reflected both a renewed rise in services business activity and a faster expansion in manufacturing production. In fact, the solid growth in manufacturing output seen in July was the sharpest since March 2022. The euro area's largest economy – Germany – saw business activity increase for the first time in four months. Meanwhile, French output continued to fall, but only marginally. The rest of the eurozone as a whole registered the strongest expansion in eight months.

The rise in output in July was in line with a renewed increase in new orders, the first in five months. Although modest, the rate of growth was the fastest since April 2023.

New export orders (which include intra-eurozone trade) continued to fall, but the rate of decline was only marginal



Data were collected 09-22 July 2026.

Sources: S&P Global PMI, Eurostat via S&P Global Market Intelligence. © 2026 S&P Global

Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"July is seeing a welcome revival of economic activity in the eurozone, but a volatile geopolitical environment means it remains to be seen if the good news can last.

"After a largely stagnant second quarter, there has been something of a bounce in demand during July which takes the PMI up to a level indicative of GDP growing at a reasonably solid 0.3% quarterly pace. This represents the best performance since the outbreak of the war in the Middle East with manufacturing enjoying its strongest growth spurt since early-2022 and services buoyed by a solid rebound in activity after three months of decline. Germany is reporting growth for the first time in four months, France's downturn has softened to the weakest since February, and the rest of the region as a whole is growing at a pace not seen since last November as its order book inflows jumped to a degree not beaten in over four years.

"The improving picture also spreads to the labour market, where companies reported the first rise in payroll numbers so far this year as business growth expectations revived to the highest since February.

"Cost pressures have meanwhile cooled sharply and are now down to their lowest since the outbreak of the war in February, helping moderate the rate of inflation for selling prices across goods and services. This will take pressure off the ECB in terms of any imminent need for further rate hikes.

"However, whether all this good news can be sustained in the coming months largely depends on the situation in the Middle East. With oil prices on the rise again in recent days and shipping worries escalating, there's a danger that the economy could relapse if inflationary pressures intensify again and supply disruptions, notably for energy, derail this nascent upturn."

and the least pronounced since March 2022.

Employment

Continuing the more positive picture at the start of the third quarter was a first increase in employment in 2026 so far. The rate of job creation was only marginal, however, as sustained reductions in manufacturing staffing levels tempered the boost to employment from the service sector. Data indicated that gains in workforce numbers were concentrated outside of the largest two eurozone economies, with Germany and France continuing to see employment fall. The rest of the euro area as a whole posted the fastest job creation in just over two years.

Higher staffing levels helped companies to be able to keep on top of workloads, with outstanding business reduced again.

Prices

As was the case in June, the rate of input cost inflation slowed in July and was the lowest since February. That said, input prices continued to rise sharply during the month. The slower pace of inflation reflected a weaker rise in manufacturing input costs, with services operating expenses increasing at a pace that was little-changed from that seen in the previous month.

Similarly, output prices also increased at a slower pace in July. Here, weaker inflation was signalled across both the manufacturing and services sectors, as well as across Germany, France and the rest of the eurozone as a whole.

Inventories and supply chains

Manufacturers in the eurozone kept their purchasing activity unchanged in July, following a marginal fall in June. Those firms that purchased inputs continued to face sharply lengthening suppliers' delivery times, although the latest deterioration in vendor performance was the least pronounced since just before the outbreak of war in the Middle East in February.

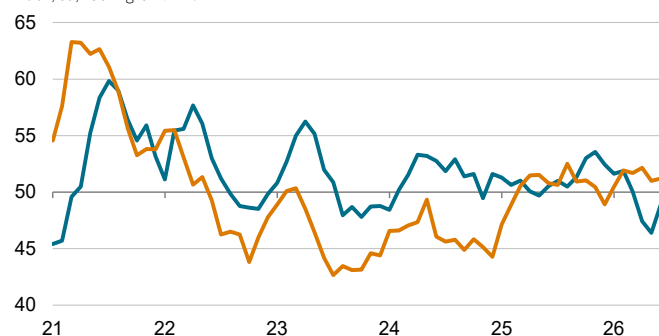
Stable purchasing activity and a lessening of supply-chain disruption helped firms to expand their stocks of inputs fractionally as the second half of the year got underway, thereby ending a 41-month sequence of falling pre-production inventories. Stocks of finished goods, meanwhile, continued to decrease.

Outlook

Sentiment regarding the year-ahead outlook for business activity continued to recover from the recent low posted in April. Confidence was the highest in five months, but still weaker than seen immediately prior to the war in the Middle East.

Sentiment ticked higher across both manufacturing and services. Meanwhile, increased optimism in Germany and France contrasted with a slight reduction in confidence across the rest of the eurozone as a whole.

■ Eurozone Services PMI Business Activity
■ Eurozone Manufacturing PMI Output
Index, sa, >50 = growth m/m



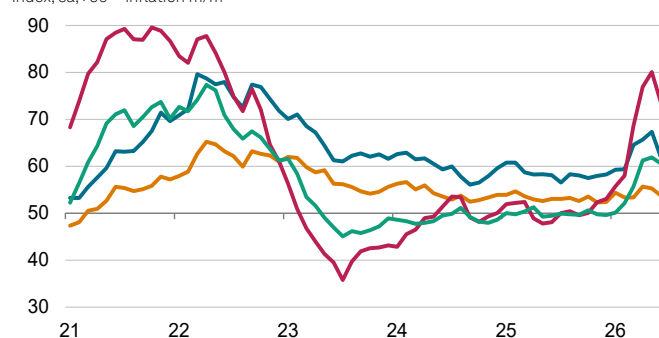
Source: S&P Global PMI. ©2026 S&P Global.

■ S&P Global Eurozone Manufacturing PMI
Index, sa, >50 = improvement m/m



Source: S&P Global PMI. ©2026 S&P Global.

■ Services PMI Input Prices
■ Services PMI Prices Charged
■ Manufacturing PMI Input Prices
■ Manufacturing PMI Output Prices
Index, sa, >50 = inflation m/m



Source: S&P Global PMI. ©2026 S&P Global.

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Methodology

Final July data are published on 3 August for manufacturing and 5 August for services and composite indicators.

The S&P Global Flash Eurozone Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of manufacturers in Germany, France, Italy, Spain, the Netherlands, Austria, Ireland and Greece, and of service providers in Germany, France, Italy, Spain and Ireland, totalling around 5000 companies. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable, at the national level. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Eurozone manufacturing and services indices are calculated by weighting together the national indices. National weights are calculated from annual manufacturing or services value added sourced from Eurostat.

Eurozone composite indices for are calculated by weighting together comparable Eurozone manufacturing and services indices using official eurozone manufacturing and services annual value added sourced from Eurostat.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity

compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.1 (absolute difference 0.3)

Services Business Activity Index = -0.1 (absolute difference 0.3)

Manufacturing PMI = 0.0 (absolute difference 0.2)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

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PMI by S&P Global

Purchasing Managers' Index™ (PMI®) surveys are now available for over 40 countries and also for key regions including the eurozone. They are the most closely watched business surveys in the world, favoured by central banks, financial markets and business decision makers for their ability to provide up-to-date, accurate and often unique monthly indicators of economic trends. www.spglobal.com

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